Viewpoint | Citi Research

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# Global Macro Strategy - Views and Trade Ideas

Flagship

## Tasting notes for risk-off: Hints of AI, France, or energy?

**CITI'S TAKE**

Risk-off is emerging across assets in varying flavors. Markets are dealing with concerns around AI financing, French fiscal and high energy prices. We use cross-sectional correlations of recent macro returns to show 'which risk-off' markets are focusing on the most. We have oil and France hedges, but less AI. We add one where vols still look low in USDJPY. In the EGB space, we pull the trigger on the fiscal RV discussed last week – long Gilts and Bonos vs short France. We explore how CCC spreads can lead the rest of the credit market, and equities. With 2w out to the mid-terms, we study whether the price reaction on the day is a reliable chase or fade.

**Tasting notes for risk-off: what are we trading?** X-asset performance has been messy, to put it lightly. To define what main risk-off theme is driving markets, we stylize 2026 oil risk-off as 01 to 08 March, AI risk-off as 23 to 30 July, and France risk-off as 25 Sep to 03 Oct. We compare these risk-off regimes to the latest price action, via cross-sectional correlation. We find the closest match of recent performance has been France risk-off, but the blend is mixed with no regime scoring above 50% correlation. AI concerns have seen the largest gains, so we add a hedge.

**USDJPY should be a AI hedge —** We already have short USDJPY exposure via our USDJPY down, TONAR 20y down hybrid, originally put on for reverse-debasement and repatriation reasons, but it has started to work as an AI hedge, which is no bad thing. In vol, 1y USDJPY FX looks low vs 1y1y USD rates. We buy a 1y USDJPY volswap.

**European sovereign balance sheet problems —** In Breaking Bad Balance Sheets (16-Oct-2026), we argued that both Bonos and Gilts vs OATs are an ideal place to fade broad European duration weakness. Citi expects no UK budget surprises and fiscally positive Spanish elections. For France, fiscal problems may linger. Protests are a reminder fiscal consolidation under any government will be difficult.

**Evidence points to potential contagion within credit, but a less consistent read-through to equities —** CCC spreads have reached historically elevated levels, and past blowout episodes were often followed by further credit weakness; we think the current widening in CCC may overstate broader systemic risks since it is heavily concentrated and largely unrelated to AI. We remain cautious and stay in equities over credit relative value trades.

**Mid-terms price reactions: chase or fade? —** In 2024 (Ready for the Chase?), ahead of the US presidential elections, we showed that price action the day after the election works well as a momentum signal, particularly for both SPX and DXY. We repeat the same analysis for US midterm elections. Unlike presidential elections, we find that price action post-midterms actually works more as a contrarian signal for most assets, except for USTs.

**Adam Pickett** AC
+44-20-7500-5777
adam.pickett@citi.com

**Dirk Willer** AC
+1-212-723-1016
dirk.willer@citi.com

**Alex Saunders** AC
+1-212-723-1058
alexander.saunders@citi.com

**Giammarco Miani** AC
+44-20-7986-6316
giammarco.miani@citi.com

**Alice Zheng** AC
+1-212-816-0382
alice.zheng@citi.com

**Vinh Vo** AC
+44-20-75-086-717
vinh.vo@citi.com

**Citi Global Macro Strategy**
+44-20-3569-4243
egy@citi.com

See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

# Tasting notes for risk-off: Hints of AI, France, or energy?

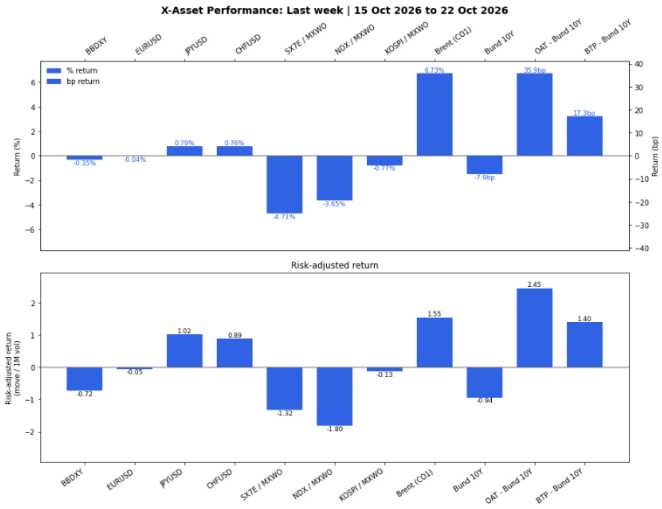
**Buy USDJPY 1y volwap at 9.20** in $250k prem, target 11.20, watch level 8.20 or $250k loss. Risking 0.25% of GMS PF off 1y ATM vol ref of 8.48. Trade rational: Hedging AI wobbles, in this scenario expect a strong JPY rally and with negative spot-vol correlation in USDJPY with vols picking up. Risks to the trade include risk recovery and hawkish Fed. Trade idea owned by **Adam Pickett.**

**Buy 10y Gilts and Bonos vs. OATs (UKT Jul36, SPGB Oct36, vs FRTR Nov36) at 5.37bp, 4.05bp and 5.04bp respectively.** USD-equivalent notionals of 11m, 12m and 17.5m respectively, FX hedged. Target on total return of basket +4% , watch level -2%. Risking $250k or 0.25% of GMS PF. Pricing as of 15:30 UKT on 23-Oct-2026. Trade rational: Fiscal problems in France can extend further while expect UK fiscal problems to improve. Trade idea owned by **Adam Pickett.**

Note: Futures trading involves substantial risk of loss

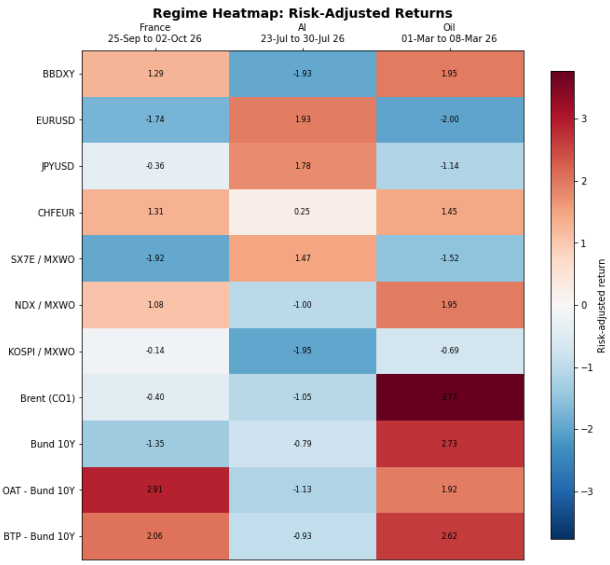
**Tasting notes for risk-off: What are we trading?** X-asset performance is messy, to put it lightly (Figure 1). We stylize 2026 oil risk-off as 01 to 08 March, AI risk-off as 23 to 30 July, and France risk-off as 24 Sep to 01 Oct. The risk-adjusted returns (1m vol window) can be seen in Figure 2, which we see as intuitive. To define what regime the market is focussing on, we can take latest 1w returns of the same assets and perform cross-sectional correlations to each regime to get a sense of which type of risk-off we are most closely matching.

**Figure 1. Macro returns, nominal (top), z-score (bottom)**




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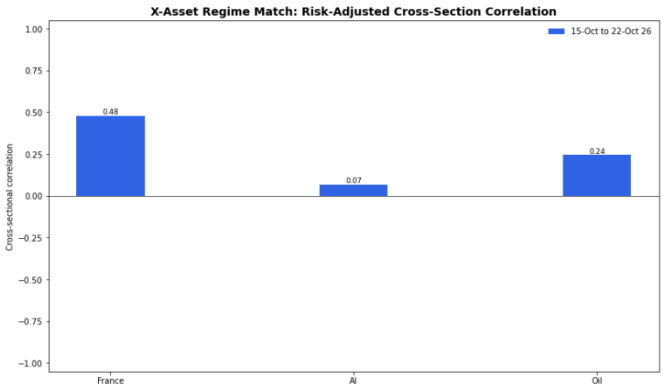
**Figure 2. 2026 risk-off regimes in x-asset z-scores**




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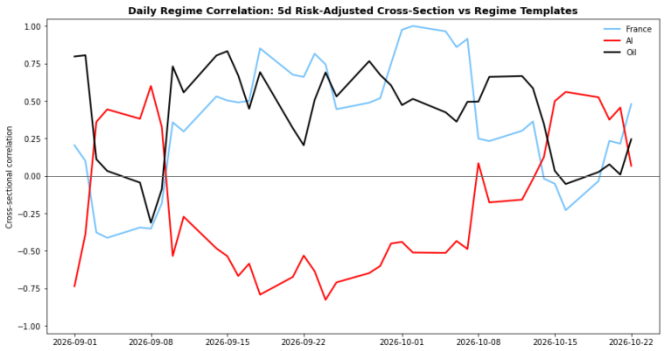
**What's the flavor of the week? Full bodied French red.** The closest match of recent performance has been to France risk-off, but the blend is very mixed, with no regime scoring above 50% correlation (Figure 3). We also show the time series evolution of these 1wk correlations in Figure 4. In late September and early October, the message was more clearly France and oil driving concerns, but AI wobbles have grown in importance.

**Figure 3. Flavour of the month – French pain, no chocolat**




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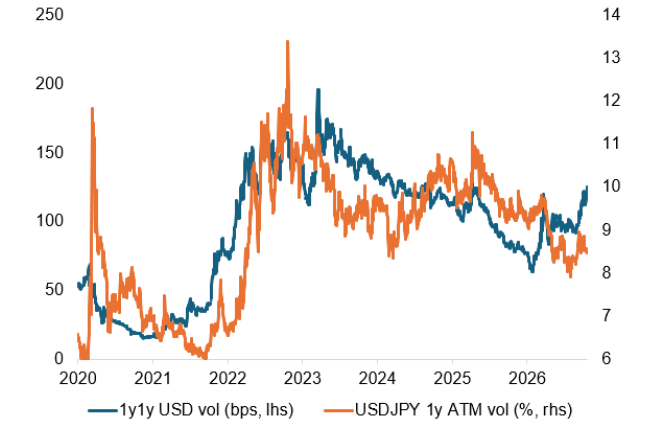
**Figure 4. Risk-off regime correlations through time**




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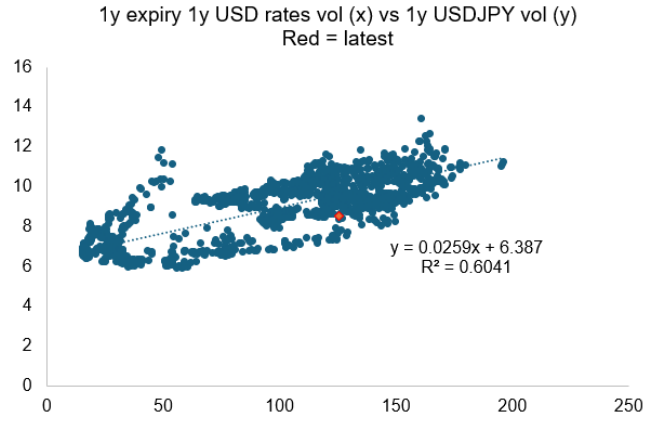
**We are hedged for France and oil, but not for AI.** On oil, we continue to hold an oil up, SX5E down dual digital. We already have plenty of bearish France risk via a short EUR basket vs DM ex-USD, short EURKRW via USD dual digitals, and rec ERZ7 vs SFRZ7. The problem with our CB RV trade is that broader risk-off and AI concerns are dragging Fed pricing lower. While not our base case, with other alarm bells ringing like POLLS and HY credit, we decide to hedge while vols are not prohibitively expensive. An AI wobble would see USD rates rally and USDJPY lower, but we already have short USDJPY via USDJPY down, 20y TONAR down hybrids. Note: Futures trading involves substantial risk of loss.

**Figure 5. USDJPY 1y vol looks low vs 1y1y USD rates vol**




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Source: Citi Research, CitiFX

**Figure 6. Scatter tells a similar story**




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**Buy USDJPY 1y volwap at 9.20** in $250k prem, target 11.20, watch level 8.20 or $250k loss. Risking 0.25% of GMS PF off 1y ATM vol ref of 8.48. Trade rational: Hedging AI wobbles, in this scenario expect a strong JPY rally and with negative spot-vol correlation in USDJPY with vols picking up. Risks to the trade include risk recovery and hawkish Fed. Trade idea owned by **Adam Pickett.**

**Longer dated USDJPY vol looks too low.** Bonds have been behaving like a safe-haven again, so USD receiver and proxy trades should make good hedges. As we

wrote last week, Fed pricing is highly sensitive to the AI trade cracking (Figure 7). In this scenario, we would expect a strong JPY rally and with negative spot-vol correlation in USDJPY; vols can pick up, too. USDJPY 1y vol already looks low relative to 1y1y USD rates vol (Figure 5, Figure 6), so instead of buying rates vol or receiver swaptions, we buy 1y USDJPY vol via volswaps. Per Figure 8, USDJPY 1y vols have rarely been lower since the Fed started hiking, and having much higher during shocks like tariffs, the 2022 tech selloff (+ RUS/UKR) and the start of the Iran crisis.

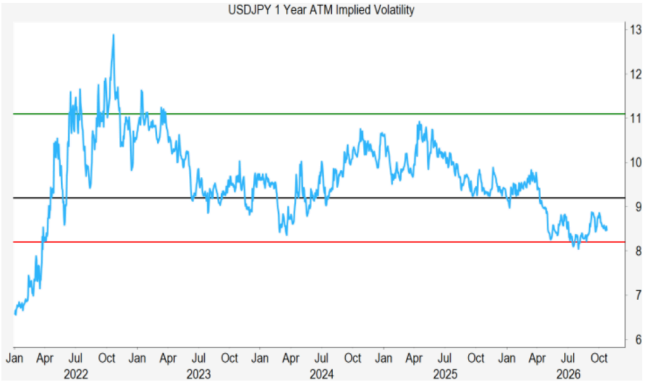
**Figure 7. If AI cracks, relative Fed vs RoW pricing will too**




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**Figure 8. USDJPY 1y atm vol vs volswap entry (black), target (green) and watch level (red)**




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## European fiscal RV: Long 10y Gilts + Bonos vs short OATs

**Buy 10y Gilts and Bonos vs. OATs (UKT Jul36, SPGB Oct36, vs FRTR Nov36) at 5.37bp, 4.05bp and 5.04bp respectively.** USD-equivalent notionals of 11m, 12m and 17.5m respectively, FX hedged. Target on total return of basket +4% , watch level -2%. Risking $250k or 0.25% of GMS PF. Pricing as of 15:30 UKT on 23-Oct-2026. Trade rational: Fiscal problems in France can extend further while expect UK fiscal problems to improve. Trade idea owned by **Adam Pickett.**

**European sovereign balance sheet problems.** In Global Macro Strategy - Views and Trade Ideas - Breaking Bad Balance Sheets (16-Oct-2026), we argued that both Bonos and Gilts are an ideal place to fade broad European duration weakness. UK Citi Economics does not expect major surprises from the budget and sees the minimum headroom buffer between £14-16bn maintained. The UK has been the outperformer in terms of reducing the primary fiscal balance this year (Figure 10), and the IMF expects it to gain the biggest fall in deficit over the next 5y (BBC, 14-Oct-26). Spain starts off from a better position in terms of primary balance and growth relative to the rest of Europe. Importantly, Spain will also hold a general election end of November. The conservative party PP is polling well ahead the PSOE party. Europe Citi Economics expects a PP-led coalition to be more fiscally aware and more business-friendly. Given this, we think both Bonos and Gilts are an attractive long in the European RV space. For France instead, the political and fiscal problems are well known. What's new this week is the widespread unrest and severe rioting caused by the cost-of-living crisis. The protests complicate the picture even for the 2027 budget due by year end and are a sign that fiscal consolidation in France will be very hard to achieve, even for a fiscally responsible government. It's a reminder that while higher government bond yields are the price to pay for fiscal instability, fiscal instability has become the price to pay for social

stability. It's likely that the fiscal outlook won't change until we reach a Truss-style moment in France, but even then, it won't be possible until the legislative elections next year. While the RV long 10y Gilts and Bonos against OATs looks extended (Figure 12), we do not see a near-term catalyst to reverse the trend. We add the trade to our portfolio, vol adjusted and FX hedged.

**Figure 9. A packed European schedule: French budget ahead, Spain general election, and UK budget are key**

| Date | Country | Event |
|---|---|---|
| 20-Oct-26 | FR | Assemblée: PLF Part I vote |
| 27-Oct-26 | FR | Assemblée: PLFSS vote |
| 28-Oct-26 | UK | Autumn Budget |
| ~Mid-Nov | DE | Budget committee's final session |
| 17-Nov-26 | FR | Assemblée: PLF vote |
| 27-Nov-26 | DE | Final 2027 budget vote |
| 29-Nov-26 | SP | General election |
| Mid-Nov-mid Dec | FR | Senate reading |
| ~Late-Nov-26 | FR | PLFSS limit |
| ~Mid-Dec-26 | FR | PLF limit |
| 19-Dec-26 | FR | Special-law filing deadline |
| 31-Dec-26 | FR | Hard-stop on budget or special-law |
| ~Late Dec-Jan 27 | SP | King's consultations and investiture debate |
| Mar-27 | UK | OBR spring forecast |
| 18-Apr-27 | FR | Presidential election: round I |
| Apr-May 27 | DE | Local elections |
| 02-May-27 | FR | Presidential election: round II |
| May-27 | UK | Local elections |
| ~Jun-27 | FR | Legislative elections |
| Oct-27 | IT | End of the parliamentary term |

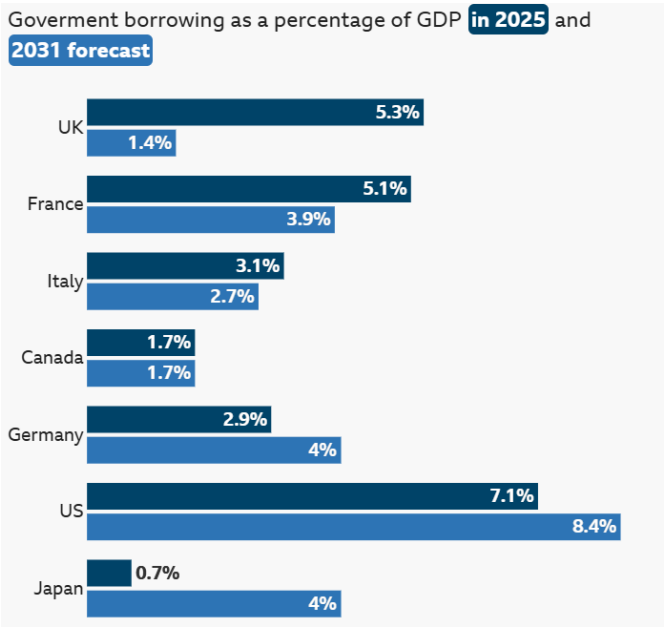
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**Figure 10. The UK has outperformed peers in terms of reducing the primary fiscal balance this year**



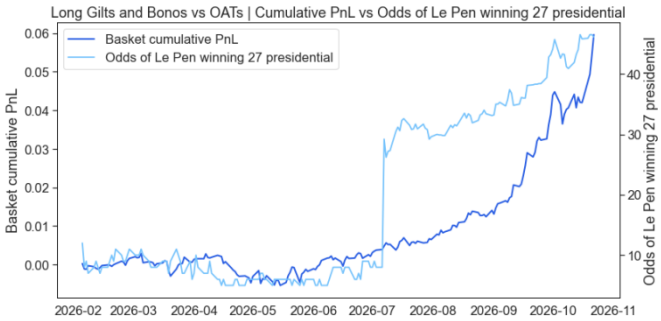

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**Figure 11. IMF forecasts project the UK as having the biggest fall in deficit among G7 nations (BBC, 13-Oct-26)**




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**Figure 12. The RV long Gilts and Bonos vs OATs has performed well this year, particularly since the summer, when the prospect of Marine Le Pen winning the 2027 presidential started to rise**




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Source: Citi Research, BBC

Source: Citi Research, Bloomberg

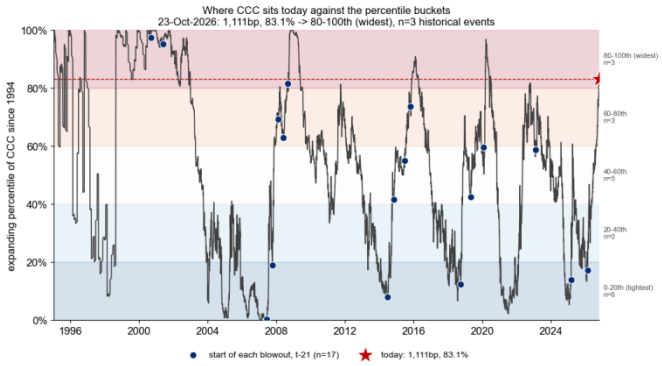
## Do weak credits lead the market?

**The evidence points to potential contagion within credit but a less consistent read-through to equities.** We previously highlighted a more cautious near-term stance, driven by the combination of our POLLS signal trigger and growing concerns around the scale of AI-related debt financing, most visibly reflected in the sharp sell-off in Neocloud bonds. Our medium-term outlook for AI and equities remains constructive, and we do not believe that weakness in Neocloud debt, in isolation, poses a systemic risk to the wider AI ecosystem. Nevertheless, the divergence within credit warrants attention. While higher rated US IG spreads have widened by ~15 bps from their YTD lows, they remain tight by historical standards. By contrast, we show in Figure 13 that CCC spreads have risen to the 83rd percentile of their expanding distribution since 1994, placing the weakest segment of the credit market in a historically elevated range. We think the pertinent risk is whether this stress spills into higher quality credit and, ultimately, broader markets.

**To assess and quantify that risk,** we examine historical episodes of severe widening in lower rated credit and track the subsequent performance of credit and equity markets. We define a blowout as a 21d widening in CCC OAS exceeding two standard deviations relative to a rolling three-year history, subject to a minimum widening of 25bps to filter out statistical noise (Figure 14). This identifies 17 episodes since 2000. We then measure the degree of subsequent widening in lower rated credit and examine its co-movement with both higher rated credit and equities throughout such widening episodes. We think there is some evidence of potential contagion within credit markets but a less consistent transmission into equities. This asymmetry reinforces our preference for long-equity versus credit relative-value expressions, where the distribution of outcomes appears more favourable for equities. We discuss the trade expression in greater detail here Global Macro Strategy - Views and Trade Ideas: Breaking Bad Balance Sheets.

**Episodes of material CCC widening have been rare, and the current episode appears more idiosyncratic than systemic.** We think that large CCC blowouts often experience further widening and typically coincide with weakness across the broader credit market. That said, there are several reasons why we are not yet more concerned. First, these episodes are relatively infrequent, and equity outcomes have been far less uniform, with equities stabilising or even rebounding in some cases despite ongoing credit stress. Second, the recent widening in CCC spreads has been highly concentrated in the telecom/media sector rather than being driven primarily by AI-related exposures. As highlighted in The Speculative Grade Beat - Reading the UST Leaves, our credit strategists note that although telecom/media accounts for only around 15% of the CCC index, the sector has contributed roughly 70% of total CCC spread widening year-to-date (Figure 15). More notably, three of the four largest contributors to spread widening are linked to the same leveraged cable and ns ecosystem (Figure 16). Our credit strategists also expect the CCC segment to continue shrinking within the HY universe. Taken together, we think that the current CCC widening is likely overstating broader systemic risk. Nonetheless, it remains a signal for caution, particularly if signs of stress begin to migrate into higher-quality segments of the credit market.

**Figure 13. Stress at the bottom of the credit market has reached historically elevated levels**



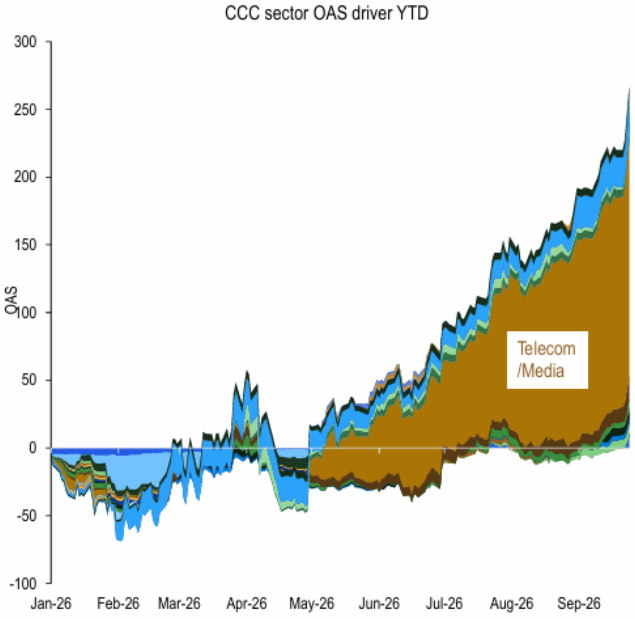

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**Figure 14. Could past CCC blowouts provide a roadmap for potential spillovers into credit and equities?**



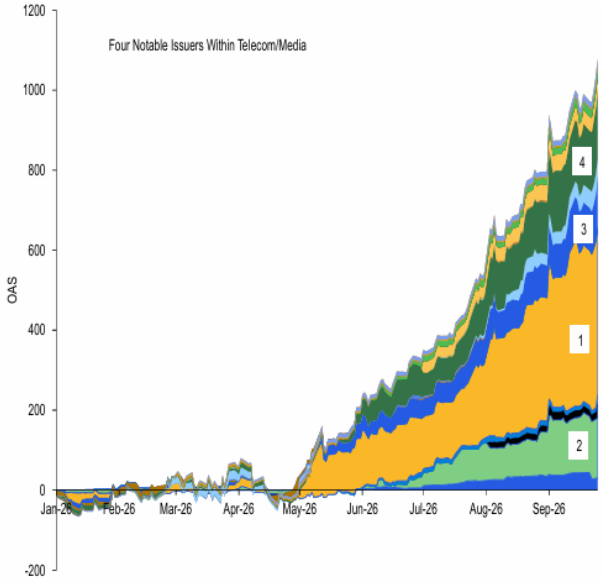

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**Figure 15. The majority of CCC widening Is driven by Telecom/Media...**




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**Figure 16. ...of which three of four largest contributors are related**

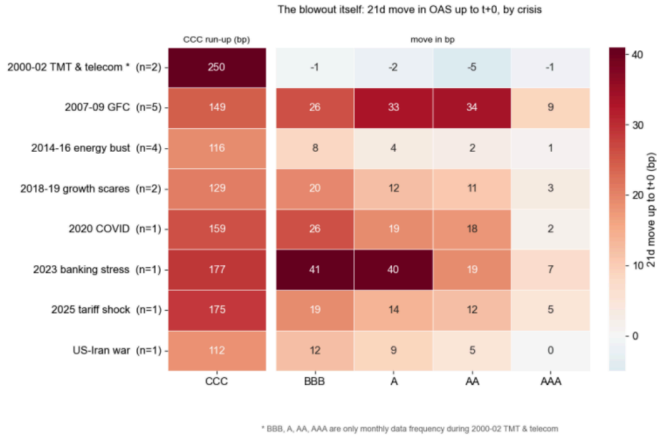



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**Lower rated credit typically drags higher quality credit wider, with further deterioration following in most episodes.** Figure 17 and Figure 18 show that when lower-quality credit sells off, higher-quality credit is typically pulled wider with it. We think this relationship is already evident during the initial blowout. While CCC spreads widen the most, the direction of travel is broadly consistent across rating buckets. Such weakness also tends to persist. In most historical episodes, CCC spreads have widened further over the subsequent 21 days, often alongside additional widening in higher-rated credit, although the magnitude of this follow through was generally smaller than the initial move (ex-COVID). The GFC is perhaps the strongest example of contagion from lower quality credit to the broader market. CCC spreads widened by roughly twice as much during the initial blowout as in the subsequent pass-through phase, whereas higher-rated credit experienced similarly sized moves across both windows.

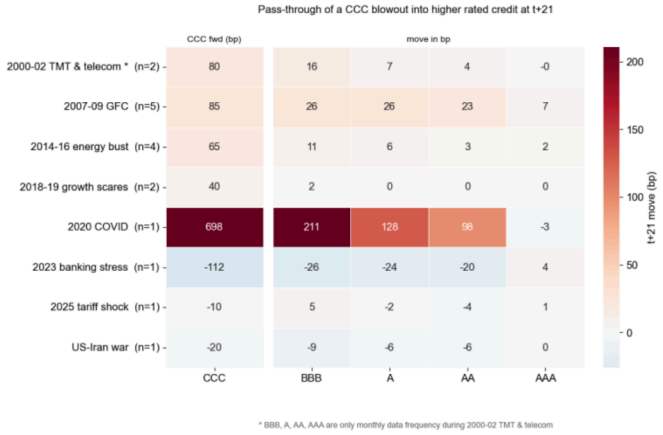
Figure 20 and Figure 19 reinforce such conclusions as well through the rolling 21d correlations between CCC and higher-rated spreads. Correlations decline as the distance in credit quality increases and are therefore weakest between CCC and AAA. Nevertheless, they remain high across most rating buckets, both during the initial blowout and over the subsequent 21 days. While the number of samples in our study is small, we think from the stress at the bottom of the credit spectrum rarely remains contained.

**Figure 17. CCC blowouts typically pull the broader credit market wider during the initial shock**



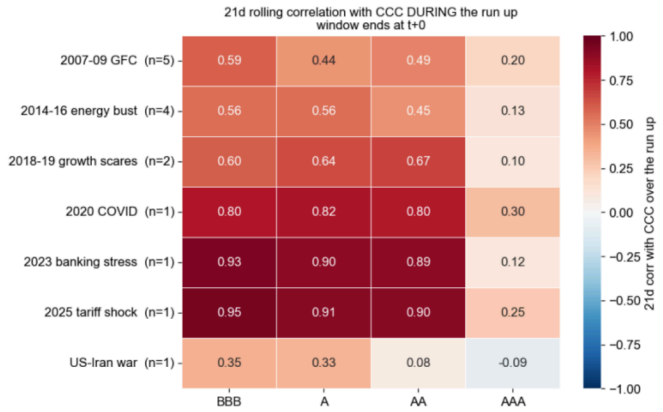

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**Figure 18. GFC is the strongest example of contagion from lower quality credit to the broader market**



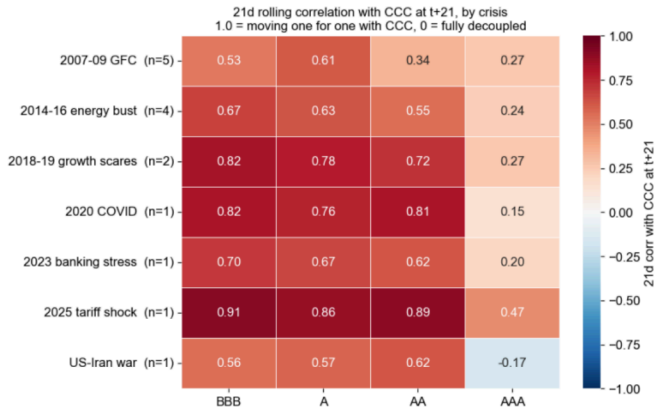

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**Figure 19. High co-movement between lower rated and higher rated credit persists both during a crisis**




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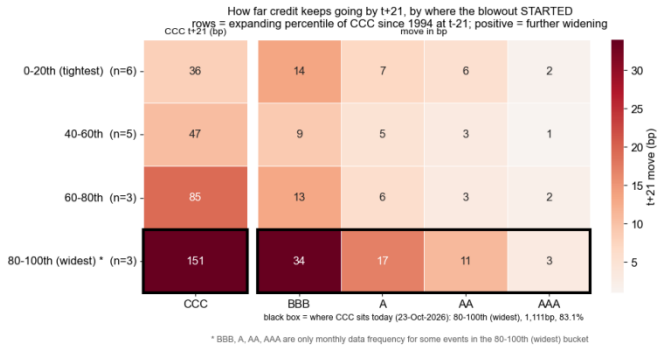
**Figure 20. …and after a crisis blowout, pointing to continued broader contagion**




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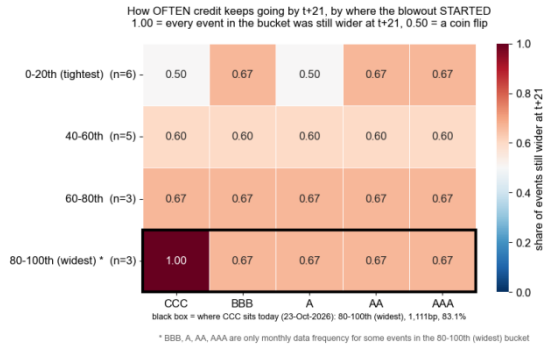
**Conditioning on the starting level of CCC spreads does little to improve the outlook.** As mentioned, CCC bond OAS currently sits in the 80th–100th percentile of its expanding historical distribution, a range from which past blowouts have typically been followed by further credit deterioration. We show in Figure 21 and Figure 22 that CCC spreads have widened further over the subsequent 21 days in all three historical episodes, while spreads from Baa through AAA widened in two of the three episodes. These three episodes are around the 2000-02 TMT bubble (n=2) and the GFC (n=1).

**Figure 21. Starting from similarly wide CCC levels, credit spreads have typically continued to deteriorate**




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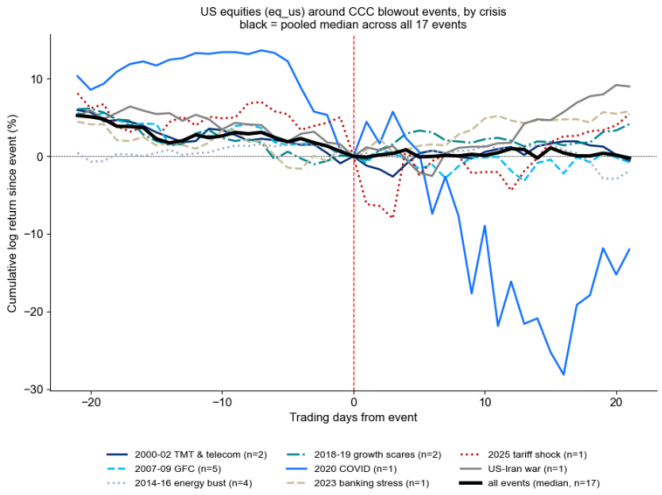
**Figure 22. The subsequent weakness extended beyond CCC in most comparable historical episodes**




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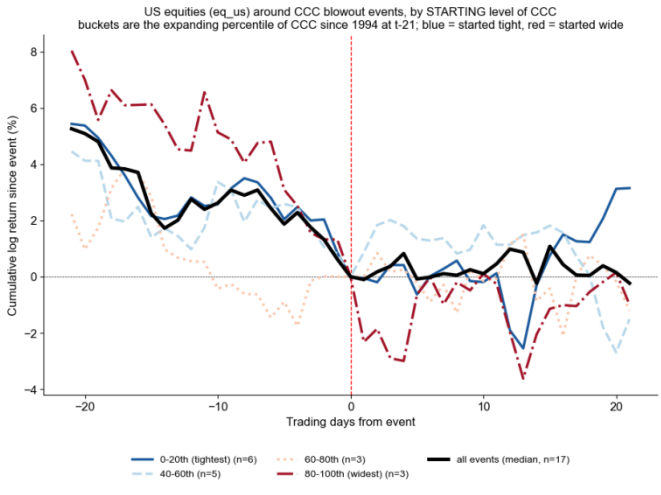
**Stress in lower quality credit has not consistently translated into sustained equity weakness.** Figure 23 and Figure 24 show equity performance around historical CCC blowouts, grouped by crisis episode and by the starting percentile of CCC spreads, respectively. While equities can weaken around the initial credit shock, subsequent performance has been mixed. The median outcome is broadly flat, with equities stabilising or recovering after most episodes. COVID is the clear downside outlier, reflecting the unusually rapid and severe nature of that shock. One possible explanation for this resilience is that rotation beneath the surface allows the broader index to remain supported even as credit stress becomes concentrated in weaker companies or sectors (Global Macro Strategy - Views and Trade Ideas: Breaking Bad Balance Sheets). That said, equities do show some short-term wobbles when lower rated spreads blow out from higher starting point but had previously bounced back on blow outs at lower starting point. We think this calls for caution in our more medium-term bullishness of AI and equities (Figure 24).

**Figure 23. Equities typically underperform along with lower credit during the blowout, but on average stabilises after**




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Source: Citi Research, Bloomberg

**Figure 24. Equities show short term wobbles when spreads blow out from high starting point, but resilient from low**

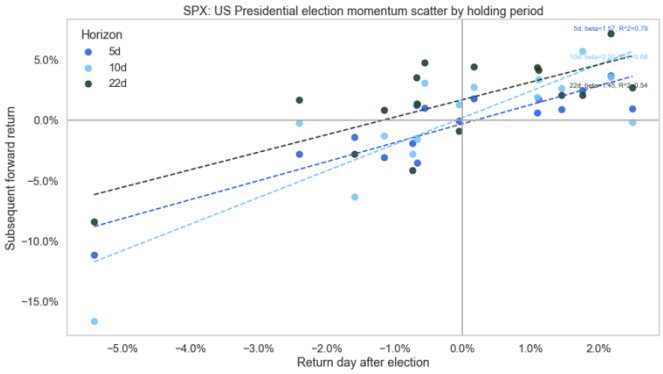



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Source: Citi Research, Bloomberg

## Mid-terms price reactions: chase or fade?

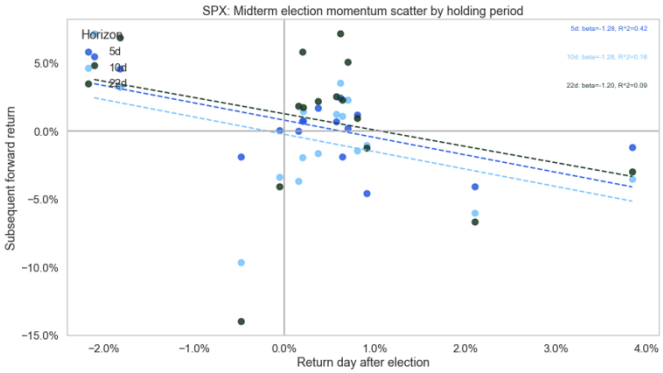
**Should you chase post-election price action?** Early voting for the US 2026 midterm election has already begun. Dems policy proposals post-midterms could offer a glimpse of what the stakes will be in the 2028 presidential election on key themes such as AI-regulation. But 1) presidential elections are too far away, and 2) in the near-term even a Dem sweep will have to face the president's veto power. Hence, the broad market consensus is that the event will not be particularly market relevant, and knee-jerk market pullbacks should be faded. We backtest this assumption in this section here. In Ready for the Chase? (31-Oct-2024), ahead of the 2024 US presidential elections, we showed that price action the day after the election works well as a momentum signal, particularly for both SPX and DXY. Figure 25 below for example shows the relationship between the 1d post-US presidential election return vs the corresponding forward return for different horizons (5d, 10d, 22d), achieving a relatively high R^2 (79%, 68% and 54% respectively). We replicate the analysis for the US midterm elections. Interestingly, we find that the 1d price action post midterm elections has negative follow-through the following days (Figure 26), in line with general consensus view. We explore the theme cross-assets further below.

**Figure 25. Initial 1d return following the US presidential election shows strong follow-through for SPX**




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Source: Citi Research, Bloomberg

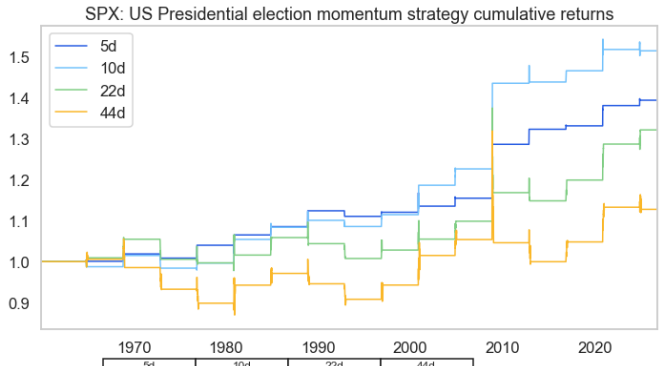
**Figure 26. Initial 1d return following US midterm election shows negative follow-through for SPX, especially strong for the following 5d**




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Source: Citi Research, Bloomberg

**Trading the signal: chase the presidential, fade the midterms.** In the four charts below, we show a simple strategy based on the idea above, as mentioned already published in Ready for the Chase? (31-Oct-2024) but expanded to the midterm elections. The left-hand side charts show the results for a strategy that buys (sells) the asset if the 1d return after the US presidential election is positive (negative), for SPX and DXY. The right-hand side charts do the same, but for the US midterm elections. As already implied by the scatter above, the momentum strategy works particularly well after the US Presidential for SPX and DXY, which achieves a very high *active* IR, especially for the shorter tenors of 5d and 10d. The opposite is true for the US midterms. In fact, the price action the day after the election seems to act more as a contrarian signal for SPX and DXY. The signal tends to peak at the 10d mark. Again, the results seem to be in line with the broader consensus view that should we see a pullback in the market following a Dem sweep, that would offer a buy the dip opportunity.

**Figure 27. Chasing SPX is historically very high active IR after the US Presidential elections…**

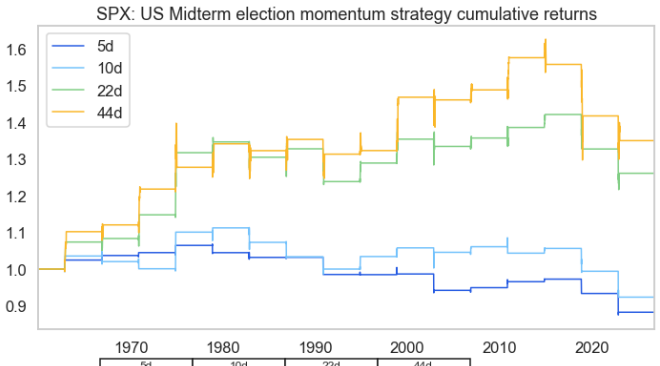



| | 5d | 10d | 22d | 44d |
|---|---|---|---|---|
| Return | 0.51% | 0.64% | 0.46% | 0.25% |
| Volatility | 1.37% | 2.02% | 3.07% | 3.72% |
| Risk/Reward | 0.37 | 0.32 | 0.15 | 0.07 |
| max DD | -2.84% | -6.69% | -16.51% | -24.72% |
| Active IR | 5.82 | 3.40 | 1.10 | 0.35 |
| % on | 0.45% | 0.91% | 1.91% | 3.73% |

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Source: Citi Research, Bloomberg

**Figure 28. … while after the US midterms it acts more as a contrarian signal**

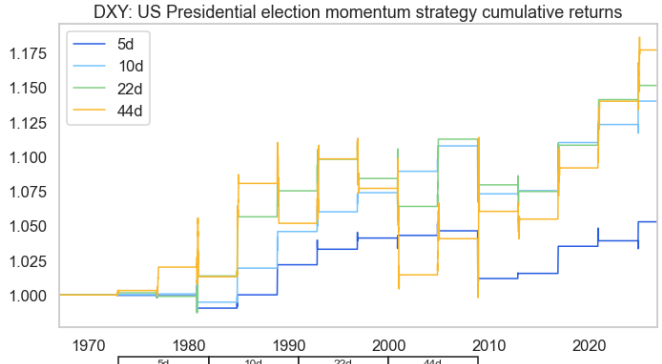



| | 5d | 10d | 22d | 44d |
|---|---|---|---|---|
| Return | -0.18% | -0.11% | 0.37% | 0.50% |
| Volatility | 1.16% | 1.62% | 2.34% | 3.20% |
| Risk/Reward | -0.16 | -0.07 | 0.16 | 0.16 |
| max DD | -18.07% | -17.02% | -14.40% | -20.25% |
| Active IR | -2.30 | -0.68 | 1.16 | 0.81 |
| % on | 0.46% | 0.92% | 1.92% | 3.76% |

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Source: Citi Research, Bloomberg

**Figure 29. Similar results for DXY. Chase price action after US presidential…**

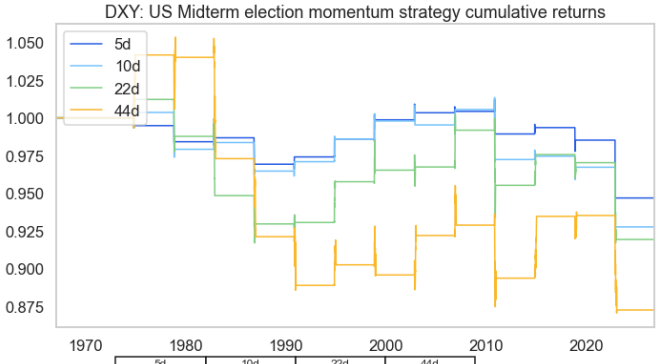



| | 5d | 10d | 22d | 44d |
|---|---|---|---|---|
| Return | 0.09% | 0.22% | 0.24% | 0.29% |
| Volatility | 0.56% | 0.70% | 1.11% | 1.64% |
| Risk/Reward | 0.16 | 0.32 | 0.22 | 0.17 |
| max DD | -3.78% | -3.30% | -5.02% | -10.35% |
| Active IR | 2.36 | 3.43 | 1.58 | 0.90 |
| % on | 0.44% | 0.88% | 1.91% | 3.74% |

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Source: Citi Research, Bloomberg

**Figure 30. …. And fade after US midterms**



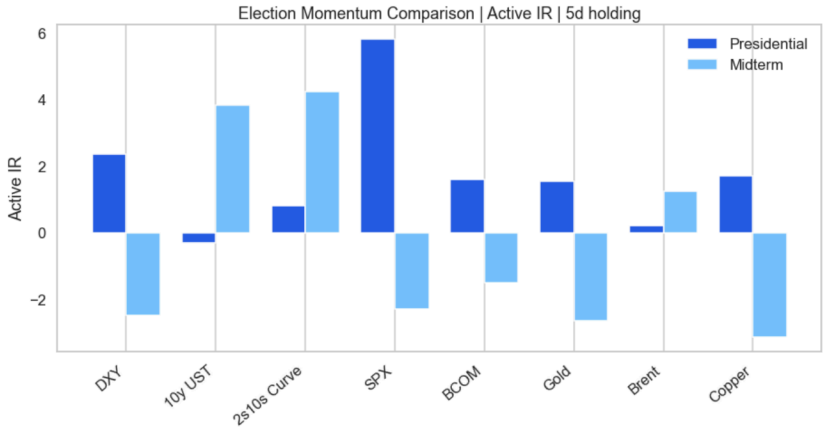

| | 5d | 10d | 22d | 44d |
|---|---|---|---|---|
| Return | -0.09% | -0.12% | -0.14% | -0.22% |
| Volatility | 0.57% | 0.74% | 1.06% | 1.48% |
| Risk/Reward | -0.16 | -0.17 | -0.13 | -0.15 |
| max DD | -6.47% | -8.68% | -10.44% | -17.39% |
| Active IR | -2.48 | -1.84 | -0.96 | -0.79 |
| % on | 0.41% | 0.82% | 1.76% | 3.48% |

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Source: Citi Research, Bloomberg

**What about other assets?** We show in Figure 31 below the active IR of the same strategy described above, using a 5d holding period after the event but across different assets, including gold, copper, Brent, etc. The pattern roughly holds for most assets. The price action after US Presidential elections should be chased, while it should be faded after the midterms. The only interesting exception are USTs. The active IR is flat for the presidential and positive for the midterms. We find similar results for the curve, too. The reason could be that midterms typically see the incumbent lose seats, meaning a more divided government and possibly less new deficit spending. In fact, we found most 1d price action post midterms in USTs has been either positive or flat, and the curve flattened. Result hence point to fading most price action, while USTs may have a bit more room to run.

**Figure 31. For most assets, presidential price action is a chase, and midterms are a fade, except for USTs. USTs and curve tend to have some positive follow-through after midterm elections**




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Source: Citi Research, Bloomberg

**Figure 32. Trade Summary**

| GMS PF Notional P&L | $ | % |
|---|---|---|
| YTD (all trades) | 616,982 | 0.62% |
| Trailing 12m | -851,851 | -0.9% |
| Full sample (from start of 2023) | 23,462,900 | 23.5% |

| Trades (since inception) | Open | Closed | Total |
|---|---|---|---|
| Total | 30 | 213 | 243 |
| In profit | 17 | 104 | 121 |
| In loss | 13 | 109 | 122 |
| Profitable trades | 57% | 49% | 50% |

| 2026 Trade Summary as of October 23, 2026; 15:41 UKT Time | Open Date | Close Date | DV01($) | Notional ($) | Open | Current/ Close | Target on spot | Watch Level | Trade P&L | $ Trade P&L (Since inception) | $ Trade P&L (YTD) | P&L as % of PF (Since inception) | P&L as % of PF (YTD) |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Open Trades | | | | | | | | | | | | | |
| Buy 1y (Dec-26) 32,000 NDX digital call | 15-Dec-2025 | Open | | 1,683,502 | 0.15 | 0.34 | 100.00 | 0.00 | 19.34% | 56,507 | 151,819 | 0.06% | 0.15% |
| (23-Dec-2026) USD denom Dual Digi SX5E < 98.83% (6250.00), COG7 > 122% (110) | 09-Sep-2026 | Open | | 990,099 | 0.10 | 0.20 | 1.00 | 0.00 | 10.3% | 101,980 | 101,980 | 0.10% | 0.10% |
| Receive Nov/Dec MPC | 16-Sep-2026 | Open | 80,000 | | 15.50 | 12.01 | 0.00 | 21.00 | 3.5 bp | 279,040 | 279,040 | 0.28% | 0.28% |
| 18Mar27, JPY Denom Dual Digi USDJPY < 150.00, JPY20YTONAR < ATMS-0.200 | 18-Sep-2026 | Open | | 2,531,646 | 0.12 | 0.12 | 1.00 | 0.00 | -0.15% | -3,797 | -3,797 | 0.00% | 0.00% |
| 2m (2026-Nov-26) USDBRL 4.90 digital put | 28-Sep-2026 | Open | | 1,282,051 | 0.20 | 0.45 | 100.00 | 0.00 | 25.1% | 321,751 | 321,751 | 0.32% | 0.32% |
| Brazil NTNF 2031 | 05-Oct-2026 | Open | 5,000 | | 12.90 | 12.87 | 12.25 | 13.20 | 3.2 bp | -107,286 | -107,286 | -0.11% | -0.11% |
| Buy Bovespa (BZ1) | 05-Oct-2026 | Open | | 5,248,664 | 208990.00 | 207555.00 | 250000.00 | 190000.00 | -0.69% | -27,722 | -27,722 | -0.03% | -0.03% |
| Long ERZ7 vs SFRZ7 | 08-Oct-2026 | Open | 28,000 | | 140.00 | 127.50 | 200.00 | 115.00 | -12.5 bp | -350,010 | -350,010 | -0.35% | -0.35% |
| Sell EUR vs GBP, JPY, CHF, AUD, NZD, NOK, vol weighted | 08-Oct-2026 | Open | | 20,160,000 | 100.00 | 98.63 | 98.00 | 101.00 | 1.38% | 275,161 | 275,161 | 0.28% | 0.28% |
| 3m (11-Jan-27) EURUSD < 1.1150, USDKRW < 1325 dual digital | 08-Oct-2026 | Open | | 476,190 | 0.11 | 0.13 | 100.00 | 0.00 | 2.81% | 13,366 | 13,366 | 0.01% | 0.01% |
| 9m (09-Jun-27) EURUSD < 1.1150, USDKRW < 1325 dual digital | 08-Oct-2026 | Open | | 434,783 | 0.12 | 0.14 | 100.00 | 0.00 | 2.92% | 12,686 | 12,686 | 0.01% | 0.01% |
| Buy ES1 and buy CDX IG S47.5y | 15-Dec-2026 | Open | | 10,000,000 | 7800 / 60.277 | / 64.12245 | 8236.84 / 67.8 | 7544 / 53.25 | 0.76% | 75,521 | 75,521 | 0.08% | 0.08% |
| USDJPY 1y vol swap | 23-Oct-2026 | Open | | 250,000 | 9.20 | 9.20 | 11.20 | 8.20 | 0.00% | 0 | 0 | 0.00% | 0.00% |
| Buy 10y Gilts and Bonos vs. OATs, FX hedged | 23-Oct-2026 | Open | | 11m/12m/17.5m | 100.00 | 100.00 | 104.00 | 98.00 | 0.00% | 0 | 0 | 0.00% | 0.00% |
| | | | | | | | | | Total P&L | 647,196 | 742,508 | 0.65% | 0.74% |

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NDX call, Bovespa owned by **Vinh Vo**; NKY owned by **Giammarco Miani**

Note: Futures trading involves substantial risk of loss.

Source: Citi Research

- P&L on trades includes carry and roll costs but not trading commissions/costs.
- It should not be assumed that recommendations made in the future will be profitable or will equal the performance of the securities in this list.
- Closed trade recommendation details available on request.
- Table shows opening levels and current mark where appropriate. Third column is % gain or loss on the trade. Summary statistics show % of trades in profit.

**Reasonable Basis and Risks**

Please see Figure 33 for hyperlinks to previous publications discussing the rationale and risks around each of the outstanding trade recommendations shown above in Figure 32.

**Figure 33. Reasonable Basis and Risks**

| Trade | Basis & Risks Discussion |
|---|---|
| Buy 1y (Dec-26) 32,000 NDX call (15-Dec-2025) | Please see here |
| Buy 23-Dec-2026 USD denom Dual Digi SX5E < 98.83%, COG7 > 122% (09-Sep-2026) | Please see here |
| Receive Nov/Dec MPC (16-Sep-2026) | Please see here |
| Buy 18Mar27, JPY Denom Dual Digi USDJPY < 150.00, JPY20YTONAR < ATMS-0.200% (18-Sep-2026) | Please see here |
| 2m (2026-Nov-26) USDBRL 4.90 digital put (28-Sep-2026) | Please see here |
| Buy BZ1 Index (05-Oct-2026) | Please see here |
| Buy 2031 NTNFs (05-Oct-2026) | Please see here |
| Rec ECB vs pay Fed via long ERZ7 vs short SFRZ7 (08-Oct-2026) | Please see here |
| Sell EUR vs GBP, JPY, CHF, AUD, NZD, NOK, vol weighted (08-Oct-2026) | Please see here |
| Buy 3m (11-Jan-27) EURUSD < 1.1150, USDKRW < 1325 dual digital at 10.50% (08-Oct-2026) | Please see here |
| Buy 9m (09-Jun-27) EURUSD < 1.1150, USDKRW < 1325 dual digital at 11.50% (08-Oct-2026) | Please see here |
| Long SPX versus CDX (16-Oct-2026) | Please see here |
| USDJPY 1y Vol swap | Please see above |
| Buy 10y Gilts and Bonos vs. OATs, FX hedged | Please see above |

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NDX call, Bovespa owned by **Vinh Vo**; NKY owned by **Giammarco Miani**
Note: Futures trading involves substantial risk of loss
Source: Citi Research

**Regarding Options**

The portion of this research report regarding non-OCC issued options is not intended for US clients other than Qualified Institutional Buyers. Investing in options is not suitable for all investors. Please see the disclosures concerning the risks of investing in options below and discuss with your Financial Advisor whether this particular options strategy is suitable for you. Note that all option prices are indications, based on prices as of 23 Oct. Interested investors should contact our trading desk for updated price and liquidity information. Also, complex option strategies may entail higher commissions costs. Note that one or more of the following trade ideas are intended for OTC transactions only.

Please contact us for further details on the options recommendations that appear in this note.

Figure 34. Representative Market Conditions

| | Opening | Marked to Market/ Current Level as of 23 October 2026, 15:45 |
|---|---|---|
| NDX | 25390 | 29092 |
| Oil | 90.80 | 107.00 |
| EURO STOXX 50 | 6300.00 | 6025.82 |
| GBP NOV26 | 0.20 | 0.24 |
| GBP DEC 26 | 0.36 | 0.36 |
| USDJPY | 157.80 | 156.92 |
| 20Y JPY TONAR | 3.53 | 3.27 |
| USDBRL | 5.2770 | 5.04 |
| Bovespa | 208990.00 | 207355.00 |
| NTNF 2031s | 12.90 | 12.87 |
| ERZ7 | 3.40 | 3.35 |
| SFRZ7 | 4.79 | 4.61 |
| EURGBP | 0.85 | 0.84 |
| EURAUD | 1.61 | 1.59 |
| EURJPY | 177.15 | 175.74 |
| EURCHF | 0.93 | 0.92 |
| EURNOK | 10.72 | 10.46 |
| EURNZD | 2.00 | 1.97 |
| EURUSD | 1.12 | 1.12 |
| USDKRW | 1344.45 | 1326.25 |
| SPX | 7800.00 | 7674.00 |
| CDX IG 5Y | 60.28 | 64.10 |
| FRTR 10y | 89.64 | 89.64 |
| SPGB 10y | 94.72 | 94.72 |
| UKT 10y | 96.25 | 96.25 |

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Source: Citi Research

12-Month Trade Recommendation History

Please refer to Figure 35 for a full 12-month trade recommendation change history.

## Figure 35. 12-Month Trade Recommendation History

| Closed Trades | Recommendation Date | Closed Date | % |
|---|---|---|---|
| Buy SPW | 07/08/2026 | 13/10/2026 | -0.31 |
| EMFX Carry - ZAR, MXN, COP, TRY vs CAD, CHF | 14/07/2026 | 25/09/2026 | -0.27 |
| Buy Gold Spot | 19/08/2026 | 14/09/2026 | -0.40 |
| Rec Oct26 FOMC | 07/08/2026 | 11/09/2026 | -0.80 |
| Short EURSEK spot | 05/08/2026 | 10/09/2026 | -0.39 |
| 6m (11Sep26) USD denom Dual Digi NKY > 61000, USDJPY < 157 | 04/03/2026 | 09/09/2026 | 0.50 |
| Pay 1y JPY OIS | 09/07/2026 | 09/09/2026 | 0.95 |
| Long EURUSD | 28/07/2026 | 28/08/2026 | 0.40 |
| Buy 2m EURUSD (28-Sep-26) 1.1750 one touch | 28/07/2026 | 28/08/2026 | 0.15 |
| Buy 17-Aug-2026 expiry SPX > 106.25% (7833.29), CLU6 > 110% (91.19) dual digital | 07/05/2026 | 17/08/2026 | -0.15 |
| Buy 6m (13-Aug-2026) EURGBP 0.90 digi call w/ 1m (30-May-2026) 0.8550/0.8875 WKO | 13/02/2026 | 13/08/2026 | -0.10 |
| Buy 05-Aug-2026 expiry LME copper 15,250 digi call | 11/05/2026 | 05/08/2026 | -0.40 |
| Buy TES 2031s, FX hedged vs 2y IBR payer | 01/06/2026 | 03/08/2026 | 0.27 |
| Receive CORRA Z6 (previously paid against IR Z6) | 14/05/2026 | 14/07/2026 | -0.11 |
| Receive SFI Z6 (previously paid against ER Z6) | 14/05/2026 | 14/07/2026 | 0.07 |
| Long HGB 2031s (FX hedged as of 14-May-2026, removed FX hedge as of 11-Jun-2026) | 09/04/2026 | 09/07/2026 | 1.19 |
| Long VG1 | 12/06/2026 | 09/07/2026 | 0.06 |
| Long KMZ6 | 08/04/2026 | 03/07/2026 | 1.30 |
| Long USDNOK spot | 17/06/2026 | 03/07/2026 | 0.63 |
| Short USDJPY spot | 21/05/2026 | 29/06/2026 | -0.01 |
| Long Aug-26 Brent 120 digi call | 30/04/2026 | 26/06/2026 | -0.50 |
| Long gold spot | 08/04/2026 | 06/06/2026 | -0.32 |
| USD OIS 2s10s steepener | 15/05/2026 | 06/06/2026 | -0.58 |
| Buy ES1 and buy CDX IG S45 5y | 15/12/2025 | 05/06/2026 | 1.15 |
| Long KOSPI2 Partial TP | 08/04/2026 | 05/06/2026 | 1.31 |
| Long BRL, CLP vs. COP | 14/05/2026 | 29/05/2026 | -0.12 |
| Short USDSEK | 08/04/2026 | 14/05/2026 | -0.51 |
| 2s30s gilts steepener | 09/04/2026 | 30/04/2026 | 0.12 |
| Short USDJPY spot | 01/04/2026 | 30/04/2026 | 0.17 |
| Receive 2y CAD | 06/04/2026 | 29/04/2029 | -0.92 |
| Receive Jan29 offshore DI | 17/04/2026 | 29/04/2026 | -0.54 |
| Long HGB 2031s | 09/04/2026 | 17/04/2026 | 0.82 |
| 3m (17-Apr-2026) SPX < 100% (6840), EURUSD > 102% (1.1949) | 20/01/2026 | 17/04/2026 | -0.25 |
| 3m (17-Apr-2026) SPX < 98% (6703), EURUSD > 103% (1.2066) | 20/01/2026 | 17/04/2026 | -0.13 |
| 3m (14-Apr-2026) Gold > 110% (5084.20), USD 30y SOFR > ATMF+10bp (4.161%) | 14/01/2026 | 14/04/2026 | -0.05 |
| Long SSYZ6 vs ERZ6 | 19/03/2026 | 08/04/2026 | 0.10 |
| EURUSD 2m (31-Mar-2026) 1.23 digital call KO 1.27 | 29/01/2026 | 31/03/2026 | -0.15 |
| Long TPM6 (partially unwound) | 09/01/2026 | 27/03/2026 | -0.07 |
| Pay IRZ6 vs. Receive CORRA Z6 | 15/12/2025 | 24/03/2026 | 1.00 |
| CDX IG payer spread vs. receiver spread | 16/10/2026 | 18/03/2026 | -0.05 |
| Gold 5400/5800 call spread EKI 6200 | 05/02/2026 | 19/03/2026 | -0.18 |
| Feb-Mar ECB OIS flattener | 09/10/2025 | 19/03/2026 | -0.64 |
| Long BRL, MXN, ZAR, TRY, CLP vs. CAD, SGD | 02/10/2025 | 12/03/2026 | 0.64 |
| Receive SOFR Z7 | 05/02/2026 | 12/03/2026 | -0.24 |
| Buy Mar-26 expiry LME copper 12000 digi call | 02/10/2025 | 03/03/2026 | 1.64 |
| Buy 30y Gilts vs OATS | 15/12/2025 | 03/03/2026 | -0.05 |
| Vol weighted barry basket with tariff twist: BRL, MXN vs EUR, USD | 01/05/2025 | 03/03/2026 | 1.59 |
| Receive Jan29s offshore IRS | 08/05/2025 | 03/03/2026 | -0.24 |
| Buy EURUSD spot | 20/01/2026 | 03/03/2026 | -0.41 |
| 2y HUF reciever (previously 2s10s steepener) | 27/02/2026 | 03/03/2026 | -0.69 |
| Receive Jan28s offshore IRS | 29/01/2026 | 03/03/2026 | -0.12 |
| HUF 2s10s steepener | 29/01/2026 | 27/02/2026 | -0.17 |
| 6m fwd 5s30s JPY flattener | 29/01/2026 | 24/02/2026 | 0.00 |
| 6m fwd 5y JPY payer | 29/01/2026 | 24/02/2026 | -0.38 |
| 6m NDX up/5s30s up dual digi | 06/08/2025 | 20/02/2026 | -0.10 |
| Long MSCI All Argentina Index | 27/10/2025 | 13/02/2026 | 0.26 |
| 2s10s HUF steepener (DV01 equal weight) | 17/12/2026 | 29/01/2026 | -0.19 |
| Gold > 109% (5037.98), USD 30y SOFR > ATMF (4.151%) | 14/01/2026 | 29/01/2026 | 0.23 |
| Pay 12x15 NOK vs. Receive 12x15 SEK FRA 164.5bp | 15/12/2025 | 29/01/2026 | 0.58 |
| Long TPH6 (partial unwind) | 09/01/2026 | 29/01/2026 | -0.14 |
| 3m (09-Jan-2026) USDTRY 43.80 digital put | 09/10/2025 | 09/01/2026 | 0.52 |
| Buy 6m (12-Jan-2026) EURUSD 1.21 digi call with 2m (10-Sep-2025) 1.21 WKO | 10/07/2025 | 12/01/2026 | -0.25 |
| Buy Mar-26 EUA emissions future (MOH26) | 15/12/2025 | 20/01/2026 | -0.20 |
| 2m (31-Dec-2025) SPX 105%/107.5% (7243.95/7416.43) call spread | 31/10/2025 | 31/12/2025 | -0.50 |
| BoJ Dec/Jan steepener | 30/10/2025 | 19/12/2025 | -0.48 |
| 16-Dec-2025 USD denom CLF6/AUDUSD dual digital | 10/07/2025 | 16/12/2025 | -0.25 |
| Receive Dec-25 CAD OIS | 08/08/2025 | 10/12/2025 | 0.00 |
| Long Dec26 SARON future | 03/12/2025 | 09/12/2025 | -0.57 |
| Long HC1 vs. VG1 | 19/09/2025 | 03/12/2025 | -0.60 |
| GBP 6m fwd 5s30s steepener | 11/07/2025 | 27/11/2025 | -0.01 |
| Sell 10y Gilt ASW | 13/12/2024 | 27/11/2025 | 0.13 |
| Long NQ1 SPW | 11/07/2025 | 20/11/2025 | 0.35 |
| Long ESZ5 | 31/10/2025 | 20/11/2025 | -0.80 |
| Receiver 2y INR | 06/10/2025 | 13/11/2025 | -0.08 |
| Long USDCHF | 04/11/2025 | 13/11/2025 | -0.53 |
| Receive 2y F-TIIE (Partial) | 05/02/2025 | 06/11/2025 | 0.65 |
| SOFR M6M7 Steepener | 02/10/2025 | 30/10/2025 | -0.13 |
| Receive Dec CAD OIS (partial TP) | 08/08/2025 | 27/10/2025 | 0.33 |
| Buy gold spot (full unwind) | 01/09/2025 | 21/10/2025 | 1.07 |

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Source: Citi Research

Note that the following trades are intended for OTC transactions only.

**Buy 1y (18-Dec-26) 32,000 NDX digital call.** Risks to trade include AI bubble bursting, excessively hawkish Fed, US recession risks. Trade idea owned by **Vinh Vo.**

***Buy 23-Dec-2026 USD denom Dual Digi SX5E < 98.83%, COG7 > 122% (09-Sep-2026).*** *Risk to trade includes Faster-than-expected normalisation of global oil flows/a quick resolution in US-Iran tensions.* ***Trade idea owned by Vinh Vo.***

***Buy 18Mar27, JPY Denom Dual Digi USDJPY < 150.00, JPY20YTONAR < ATMS-0.200% at 11.85% (vs USDJPY Digi 24% and JPY20YTONAR Digi 32%).*** *Risks to trade: no changes to GPIF allocation, further repricing hawkish of the Fed.* ***Trade idea owned by Giammarco Miani.***

***Buy BZ1 Index at 208990 in 5.06mio.*** *Risks to the trade include global risk-off, Lula winning second round.* ***Trade Idea owned by Vinh Vo.***

***Buy 3m (11-Jan-27) EURUSD < 1.1150, USDKRW < 1325 dual digital at 10.50%. Individual digitals EURUSD 35% and USDKRW 42%.*** *Risks include better Eurozone outlook, weaker semi cycle.* ***Trade idea owned by Adam Pickett.***

***Buy 9m (09-Jun-27) EURUSD < 1.1150, USDKRW < 1325 dual digital at 11.50%. Individual digitals EURUSD 35% and USDKRW 46%.*** *Risks include better Eurozone outlook, weaker semi cycle.* ***Trade idea owned by Adam Pickett.***

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# Appendix A-1

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